Sikh extremist leader Jagjit Singh Chohan called for an independent Punjab that would be called Khalistan, with Nankana Sahib in Pakistan as its capital. Although it received moderate support among the Sikh diaspora, the Sikh leaders in India did not endorse such a move. However, the movement gained momentum among certain sections of the Sikh population in 1972 and 1973 when Pakistan, recovering from their humiliating defeat in the Bangladesh liberation war, started funneling money to Chohan and other leaders to recruit cadres in Punjab in order to wage a war against the Indian establishment. Any separatist movement requires three things —money, arms and publicity. In the late 1970s, Pakistan started shipping guns and explosives to extremists in Punjab while financiers based in foreign countries diverted Pakistani money through the hawala (money-laundering) system to help cadres in the state sustain the movement. The political reverberations of the propaganda in India and abroad generated sympathy and loyalty for the cause among hardcore groups.

The Khalistan movement found a local face in 1981 when Jarnail Singh Bhindranwale openly sided with Pakistan to launch an armed revolution for a separate Sikh country. Although the Congress party had nurtured him in the late 1970s, Bhindranwale distanced himself from politics after his transformation as the poster boy of Khalistan. He had a massive following among radicals and was instrumental in killing several influential Hindus, including Lala Jagat Narain, the founder editor of the Punjab Kesari newspaper in September 1981. Bhrindanwale was killed in June 1984 during the army assault on the Golden Temple known as Operation Blue Star. His death intensified the Khalistan movement: even moderate Sikhs in India and abroad were angry with government decision to attack a sacred site. Months after Operation Blue Star, the